Starbucks

Richard P. Rumelt and David Kirsch

© 2000 Richard P. Rumelt and David Kirsch. This work is licensed under a Creative Commons Attribution-NonCommercial 4.0 International License (CC BY-NC 4.0). You may copy, distribute, and adapt this material for non-commercial purposes, provided appropriate credit is given. Commercial use requires written permission from the author.This mini-case was based upon "Starbucks Corporation: This mini case Perking?" by Melissa Schilling, Boston University; "Starbucks," Ivey School 9A98M006, and other published sources.

Starbucks Coffee Corporation was a Seattle, Washington-based coffee company. It roasted whole bean coffees and sold coffee drinks through a national chain of retail out-lets/restaurants. Though the sizes of the stores and their formats varied from small, street-corner espresso carts to full-size restaurants, most were modeled after the Italian coffee bars where regulars sat and drank espresso with their friends. The retail outlets/restaurants offered coffee by-the-pound, specialty mugs, and home espresso-making machines in addition to prepared Italian beverages such as lattes, mochas and cappuccinos. They tended to be located in high-traffic locations such as malls, busy street corners, and even grocery stores. Starbucks was credited with changing the way Americans viewed coffee, and its success had attracted the attention of investors nationwide. In the mid-1990s, the company entered into several strategic alliances to market Starbucks-brand products through traditional grocery retail channels, and in 1999, the company suffered a moderate setback when its plans to expand via the Internet met with disfavor on Wall Street. Expenses soared, and the price of Starbucks (SBUX) shares fell by 50%. Subsequently, the company hired a team of outside consultants to review its growth strategy. Despite professing a strict, slow-growth policy, Starbucks had been one of the fastest growing companies in the country. Top-line CAGR from 1990 to 1999 was 47%. By 1999, the company was operating over 2,100 stores in the United States, Asia-Pacific and Europe, and annual revenue had reached $1.68 billion.

Redefining "a cup of Joe"

In order to make the coffee bar successful in America, Starbucks had to create a coffee for connoisseurs. Starbucks' coffee quality began with bean procurement. While many Americans were raised on a commodity-like coffee composed of arabica beans mixed with less-expensive filler (robusta) beans, Starbucks used strictly arabica, and the company went to great lengths to ensure that only the highest quality beans were used. High-quality beans had long been available in world coffee markets, but historically, premium beans had gone to European buyers. On several key occasions, Starbucks simply out-maneuvered European buyers to gain access to the best beans. Dave Olsen, the company's chief coffee procurer, scoured mountain trails in Indonesia, Kenya, Guatemala and elsewhere in search of Starbucks' premium bean. His standards were demanding, and he conducted exacting experiments in order to get the proper balance of flavor, body and acidity. Olsen tested the coffees by "cupping" them — a process similar to wine tasting that involves inhaling the steam, tasting the coffee, and spitting it out.

Procurement was not the only area where extreme care differentiated Starbucks' product: roasting was close to an art form at Starbucks. Roasters were promoted from within the company

and trained for more than a year, and it was considered quite an honor to be chosen. The coffee was roasted in a powerful gas oven for 12 to 15 minutes while roasters used their sight, smell and hearing to judge when beans were perfectly done. The color of the beans was even tested in an Agtron blood-cell analyzer, with the whole batch being discarded if the sample was not deemed perfect. Starbucks undertook a great deal of research by roasting its coffees in many different ways, under many different temperature and time conditions to ensure that it was getting the best possible flavor from the bean. These trial and error sessions allowed Starbucks to devise signature roasting curves that were then built into computer software that guided the roaster. The technology matched wits with the art of roasting, guaranteeing that even if a trained roaster were to defect to a competitor, he or she would not be able to reproduce Starbucks' signature roasts.

Despite the attention to quality, Starbucks' effort at bringing a premium coffee and Italian-style beverage experience to the American market would have been lost on consumers had it not invested in consumer education. Employees were encouraged to help customers make decisions about beans, grind, and coffee/espresso machines and instruct customers on home brewing. The objective was to create a long-term relationship with customers. Starbucks' consumer education was credited with defining the American espresso market, paving the way for other coffee competitors. The typical Starbucks customer was highly proficient in the science of coffee beans and brewing techniques. The coffee bars had their own dialect; patrons lined up in force to order "tall-skinny-double mochas" and "2% short no-foam lattes."

In order to create American coffee enthusiasts with the dedication of their Italian counterparts, Starbucks needed to provide a seductive atmosphere in which to imbibe. The stores were sleek, yet comfortable. Coffee preparers were referred to as "baristas," Italian for bartender, and *biscotti* were available in glass jars on the counter. The stores were well lighted, featured plenty of burnished wood and brass, and sophisticated artwork adorned the walls. Jazz or opera music played softly in the background. CEO Howard Schultz described the setting: "We're not just selling a cup of coffee, we are providing an experience." Later, the company introduced light lunch fare including sandwiches and salads, and an assortment of pastries, bottled waters and juices. Starbucks also launched a line of packaged and prepared teas in 1995 in response to growing demand for tea houses and packaged tea. Tea was a highly profitable beverage for restaurants to sell, costing only 2 cents to 4 cents a cup to produce .

Competition for the Gourmet Segment

Starbucks faced two main competitive arenas. In whole bean coffees, it competed directly against specialty coffees sold at retail through supermarkets, specialty retailers, and a growing number of specialty coffee stores. In beverages, Starbucks competed against restaurants, espresso stands, and other beverage outlets.

Diedrich Coffee, Inc. (DDRX) was the nation's second largest retailer in the specialty coffee market with annual system-wide revenues in excess of $150 million through 360 retail locations in 38 states and nine foreign countries. The company's primary brands were Diedrich Coffee coffeehouses and Gloria Jean's Coffees, the nation's leading chain of mall-based coffee stores. Overly rapid expansion via acquisitions and local franchising had put the future of the firm in question.

Founded in 1970, Seattle-based *Seattle Coffee Company*, marketed two distinctively different coffee brands — Seattle's Best Coffee (SBC) and Torrefazione Italia. Seattle Coffee Company had approximately 7,500 wholesale customers including restaurants, foodservices and airlines and operated 81 SBC company-owned and franchised cafes domestically, and 19 Torrefazi-one Italia cafes in North America. 1999 revenues reached $75 million.

Peet's Coffee and Tea — founded by Alfred Peet in 1966 in Berkeley, California — had a loyal local following in the San Francisco Bay Area before opting for regional expansion in the

mid-1990s. The company remained privately held, and, by 1999, was operating approximately 60 specialty coffee houses in Northern and Southern California, Portland, Boston, and Chicago.

Competition for suitable sites to locate stores had also become intense. Starbucks competed against restaurants, specialty coffee stores, other stores offering coffee stands within them (e.g. bookstores, clothing retailers, kitchenware retailers) and even espresso carts for attractive locations. In many metropolitan areas a single square block housed four or five different coffee beverage stores. This level of competition prompted Brother's Gourmet Coffee to abandon its 1995 expansion plans after it determined that the market was almost saturated and that Starbucks was already in all of their markets.

Creating Partnerships

Starbucks had been making its way onto grocery shelves via a carefully-planned series of joint ventures. An agreement with PepsiCo Inc. brought a bottled version of Starbucks' Frappuc-cino to store shelves in August of 1996. Starbucks also had an agreement with Washington-based Redhook Ale Brewery to make a product called Double Black Stout, a dark-roasted malt beer. In another 50-50 partnership, Starbucks provided coffee extract to Dreyers' Grand Ice Cream Inc.for the production of five flavors of Starbucks coffee ice cream, and in the fall of 1998, the company finally took the plunge into grocery retail, partnering with the Maxwell House and Post Division of Kraft Foods for distribution and marketing.

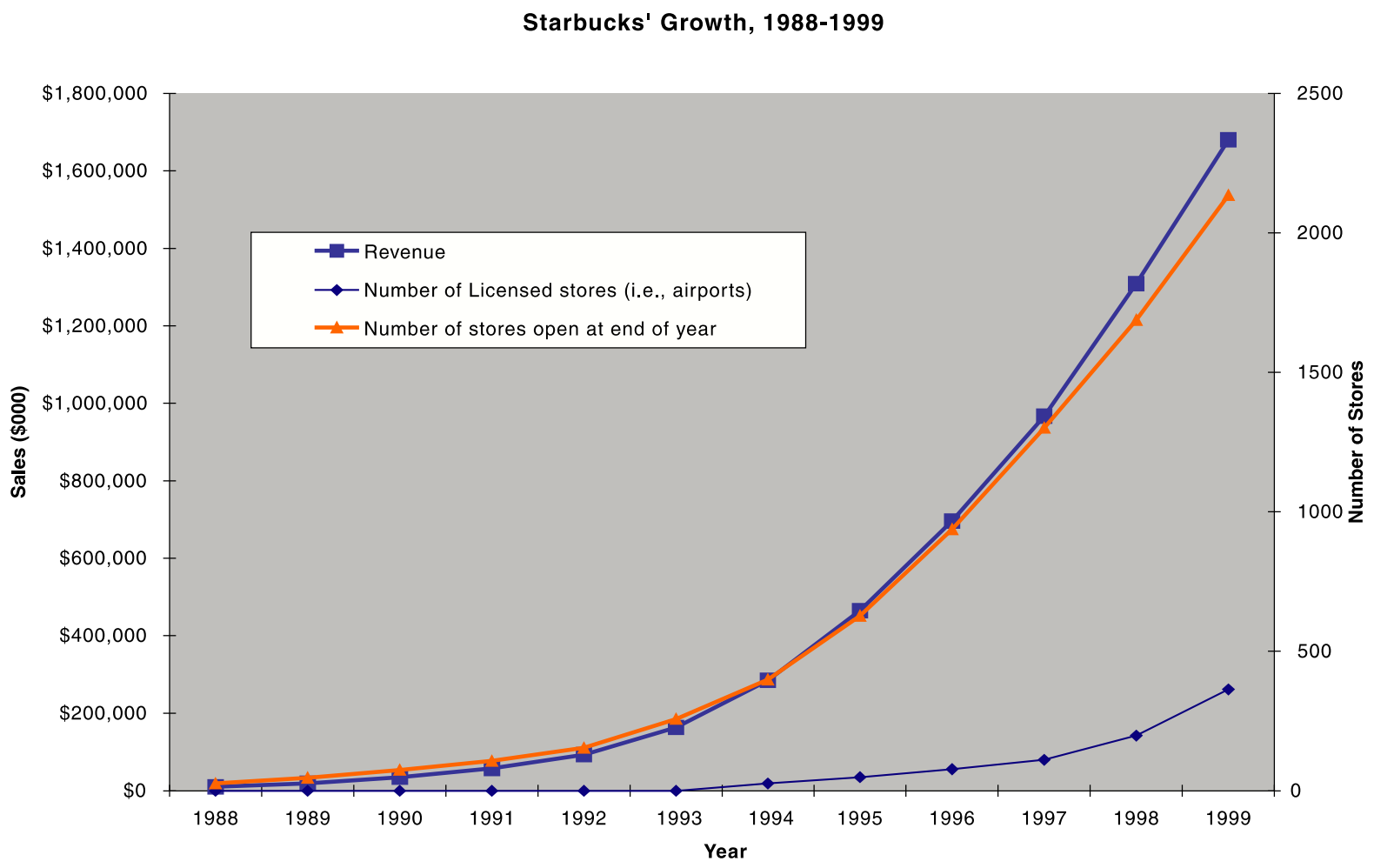
Other partnerships were designed to form new product associations with coffee. For instance, Starbucks collaborated with Capitol Records Inc. to produce two Starbucks jazz CDs, available only in Starbucks stores. Starbucks also opened tandem units with Bruegger's Bagel Bakeries and bought a stake in Noah's New York Bagels.

Other distribution agreements included office coffee suppliers, hotels, and airlines. Office coffee was a large segment of the coffee market and appeared to be a growing area for Starbucks. Associated Services (an office coffee supplier) served Starbucks coffee exclusively to its 5,000 northern California businesses clients. Sheraton Hotels also signed an agreement to serve Starbucks Coffee, and in November of 1995 Starbucks signed a deal with United Airlines to provide Starbucks coffee to United's nearly 75 million passengers a year.

The Consulting Report

The conclusions of the consulting report prepared in the aftermath of the Internet strategy debacle struck straight at the heart of Schultz and his senior managers' deepest fears. Starbuck's growth, the report concluded, was coming at the expense of brand equity. Starbucks didn't simply sell coffee; it sold a "consumer experience." Though coffee was ultimately a commodity, the Starbucks consumer experience was not. As revenues and managerial effort were increasingly spread among the company's ever expanding products and distribution channels, the essence of the Starbucks experience was being lost. The Internet blunder was merely the last of a series of mis-steps that had finally caught up with the other high-flyers from Seattle. The report proposed that Starbucks refocus itself on its core business of roasting and selling premium coffee through its wholly-owned coffee stores and gradually withdraw from its many strategic entanglements.

EXHIBIT 1


Starbucks' Growth, 1988-1999
$1,800,000
$1,600,000
$1,400,000
$1,200,000
$1,000,000
$800,000
$600,000
$400,000
$200,000
$0
Sales ($000)
2500
2000
1500
1000
500
0
Number of Stores
Revenue
Number of Licensed stores (i.e., airports)
Number of stores open at end of year
1988
1989
1990
1991
1992
1993
1994
1995
1996
1997
1998
1999
Year